Mobil Oil Australia v Wellcome International cont.

buy through a central ordering body and in complying with Mobil's requirements as to a credit card system. A further matter was the losses from theft which were said to have arisen from Mobil's requirement that oils be displayed outside in prominent view.

Mobil's response to these claims is that they are, in their totality, relatively minor and not proportionate to the remedy of an automatic nine-for-six extension at no cost. Many of the matters raised were simply sound and desirable business practices. They were inherently likely to, and did in fact, lead to increased turnover, sales and profitability. For instance, cleanliness, uniforms, random inspections, staff training, performance reports, advertising and promotion, are all processes calculated to enhance the viability of the operator's business and profitability. Although there was no detailed or specific evidence as to amounts, Lyndel referred to increases in staff levels. However, there was evidence that there was no overall increase after the August 1991 speech, nor was there evidence of any material impact on profitability. As his Honour pointed out, Mr Morris spoke of Mobil approved products costing a "few more dollars".

In our view there is force in the submissions that much of the expenditure and efforts were of a nature which might reasonably be expected to lead to increased profitability and efficiency in day-to-day operations. The additional efforts and expenditures on the part of Lyndel were not directed to capital improvements to the premises which would enure to the benefit of Mobil in a proprietary sense. In that respect they are different from the benefits which, but for the relief sought, would accrue in a *Plimmer* sense, where expenditure was incurred on the land of another which would increase its value.

Against the detriment outlined above, his Honour took into account the offer by Mobil to pay the sum of $32 209 compensation by way of reward in respect of the 1992 and 1993 years in which the 90 per cent Circle of Excellence level had been achieved by Lyndel. The question of the degree of detriment, is of course, one of fact which cannot be precisely spelt out.

Having considered the evidence concerning Lyndel and the submissions made in relation to that evidence, we consider that it was open to his Honour to conclude that the detriment was not proportionate to the grant of the nine year extension …

Conclusion

[3.95] On the estoppel claim we conclude:

1. There was no one-for-one assurance or promise which activated the principles of estoppel.
2. There was no nine-for-six assurance or promise which activated the principles of estoppel.
3. The general commitment to "find a way" was not certain enough to ground an estoppel.
4. The trial judge did not err in concluding that there was no detriment which could attract the
5. application of estoppel.
6. The applicants have not made out any estoppel case against Mobil.

Appeal allowed.

ACCEPTANCE

Relationship between the offer and acceptance

[3.100] To form a contract, the acceptance must be made in response to the offer. In the case of a bilateral contract, the very nature of the acts of offer and acceptance will usually ensure that there will be little debate as to whether what the offeree undertakes is undertaken in

response to the offer proffered by the offeror. (For example, Offeror: "I will sell you this car for $5 000. You can pay and take delivery on Friday." Offeree: "It's a deal.")

In the case of a unilateral contract, however, it may not always be clear whether the acts presented as acceptance of the offer were done in response to the offer or for some independent reason.

The Crown v Clarke

[3.105] *The Crown v Clarke* (1927) 40 CLR 227 (High Court of Australia) – Appeal from the Supreme Court of Western Australia.

[FACTS: The respondent, *Clarke*, had claimed £1,000 from the Crown in the following circumstances. In May 1926, the Commissioner of Police gave notice by proclamation that he was authorised by the government of Western Australia "to offer a reward of £1 000 for such information as shall lead to the arrest and conviction of the persons who committed the murders" of an inspector of police and a sergeant of police, and that the Governor would be advised to extend a free pardon to any accomplice not being the person who actually committed the murders who should first give the information. In June, Treffene and Clarke were arrested and charged with one of the murders. Four days later Clarke, who had seen the proclamation, made a statement which led to the arrest of one Coulter. Coulter and Treffene were convicted of the murder, Clarke giving evidence in accordance with his statement. Clarke was released and claimed the reward. The Crown alleged by way of defence that his statement was not made with a view to obtaining the reward. His petition was dismissed at first instance, the judge finding that he had not acted on the faith of or in reliance upon the offer made in the proclamation or with any intention of entering into any contract, but rather that he acted to save himself from the unfounded charge of murder. The Full Court of the Supreme Court of Western Australia upheld an appeal against this decision. The Crown appealed.]

ISAACS ACJ: [231] The facts of this case, including inferences, are not, as I understand, in dispute. They amount to this: The information for which Clarke claims the reward was given by him when he was under arrest with Treffene on a charge of murder, and was given by him in circumstances which show that in giving the information he was not acting on or in pursuance of or in reliance upon or in return for the consideration contained in the proclamation, but exclusively in order to clear himself from a false charge of murder. In other words, he was acting with reference to a specific criminal charge against himself, and not with reference to a general request by the community for information against other persons. It is true that without his information and evidence no conviction was probable, but it is also abundantly clear that he was not acting for the sake of justice or from any impulse of conscience or because he was asked to do so, but simply and solely on his own initiative, to secure his own safety from the hand of the law and altogether irrespective of the proclamation. He has, in my opinion, neither a legal nor a moral claim to the reward. The learned Chief Justice held that [232] Clarke never accepted or intended to accept the offer in the proclamation, and, unless the mere giving of the information without such intention amounted in law to an acceptance of the offer or to performance of the condition, there was neither "acceptance" nor "performance", and therefore there was no contract. I do not understand either of the learned judges who formed the majority to controvert this. But they held that *Williams v Carwardine* (1833) 4 B & Ad 621; 110 ER 590, has stood so long that it should be regarded as accurate, and that, so regarded, it entitled the respondent to judgment. As reported in the five places where it is found it is a difficult case to follow. I cannot help thinking that it is somewhat curtly reported. When the various reports in banc are compared, there are some discrepancies. But two circumstances are important. One is the pregnant question of Denman CJ as to the plaintiff's knowledge of the handbill … The other circumstance is the stress placed on motive. The Lord Chief Justice clearly attached importance to the answer given to his question. He, doubtless, finally drew the inference that, having knowledge of the request in the handbill, the plaintiff at last determined to accede, and did accede, to that request, and so acted in response to it, although moved thereto by the incentive supplied by her stings of conscience. Making allowance for what is in all probability an abridged report of what was actually said, I cannot

The Crown v Clarke cont.

help thinking, on the whole, that not only Denman CJ but also some at least of the other members of the court considered that the motive of the informant was not inconsistent with, and did not in that case displace, the prima facie inference arising from the fact of knowledge of the request and the giving of the information it sought. Motive, though not to be confused with intention, is very often strong evidence of that state of mind, both in civil and criminal matters. The evidentiary force of motive in the circumstances of *Williams v Carwardine* is no criterion of its force in the circumstances of any other case, and it can never usurp the legal place of intention. [233] If the decision in *Williams v Carwardine* went no further than I have said, it is in line with the acknowledged and settled theories of contract. If it goes so far as is contended for by the respondent, I am of opinion that it is opposed to unimpeachable authority … It is unquestionable – putting aside what are called formal contracts or quasi-contracts – that to create a contractual obligation there must be both offer and acceptance. It is the union of these which constitutes the binding tie, the *obligatio*. The present type of case is no exception. It is not true to say that since such an offer calls for information of a certain description, then, provided only information of that description is in fact given, the informant is entitled to the reward. That is not true unless the word "given" is interpreted as "given in exchange for the offer" – in other words, given in performance of the bargain which is contemplated by the offer and of which the offer is intended to form part. Performance in that case is the implied method of acceptance, and it simultaneously effects the double purpose of acceptance and performance. But acceptance is essential to contractual obligation, because without it there is no agreement, and in the absence of agreement, actual or imputed, there can be no contract …

That acceptance is necessary in a case of this kind is recognised in *General Accident Fire and Life Assurance Corp v Robertson* [1909] AC 404 at 411, a case sufficiently analogous to be illustrative here, though of course the mode of acceptance was very different. That difference constantly arises because the offeror may always prescribe the method of acceptance. In *Attorney-General (Trinidad) v Bourne* [1895] AC 83 at 88, the method was to tender payment of a balance of a price. In other cases it may be the posting of a letter, or the dispatch of goods, or anything stipulated expressly or by implication, even by hanging out a flag, as suggested by Bramwell LJ in *Household Fire Insurance Co v Grant* (1879) 4 Ex D 216 at 233. The method indicated by the offeror may [234] be one which either does or does not involve communication to him of the acceptance in order to form the contract and create the obligation, however necessary information of the fact may be required before default in payment, that is, in performance by the offeror, can arise.

[His Honour then referred to several authorities and continued:] The controlling principle, then, is that to establish the *consensus* without which no true contract can exist, acceptance is as essential as offer, even in a case of the present case where the same act is at once sufficient for both acceptance and performance. But acceptance and performance of condition, as shown by the judicial [235] reasoning quoted, involve that the person accepting and performing must act on the offer …

Instances easily suggest themselves where precisely the same act done with reference to an offer would be performance of the condition, but done with reference to a totally distinct object would not be such a performance. An offer of £100 to any person who should swim 100 yards in the harbour on the first day of the year, would be met by voluntarily performing the feat with reference to the offer, but would not in my opinion be satisfied by a person who was accidentally or maliciously thrown overboard on that date and swam the distance simply to save his life, without any thought of the offer. The offeror might or might not feel morally impelled to give the sum in such a case, but would be under no contractual obligation to do so …

[3.110] HIGGINS J: [241] I have been struck by the resemblance of the position to that of an action based on misrepresentation. The statement of claim must allege and show that the plaintiff acted in reliance on the misrepresentation. If the defendant can establish that the plaintiff did not rely on the misrepresentation, the plaintiff fails. In *Smith v Chadwick* (1882) 20 Ch D 27 at 44, Jessel MR said: "if the court sees on the face of" the statement "that it is of such a nature as would induce a person to enter into the contract, or would tend to induce him to do so, … the inference is, if he entered into the contract, that he acted on the inducement so held out, … but even then you may show that in fact

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he did not so act, … by showing *that he avowedly did not rely upon*" *the misstatement [sic] "whether he knew the facts or not."* …

I need not dilate at length on the now classic case of *Carlill v Carbolic Smoke Ball Co*. It is quite consistent with the view [242] which I have stated. The facts were not in dispute and one of the facts was that the plaintiff had bought the smoke balls *on the faith of* the advertisement. This important fact is stated again in the report on appeal; and it is just the fact which is not, and could not be, found under the circumstances of this case. My view is that Clarke did not act *on the faith of, in reliance upon*, the proclamation; and that although the exact fulfilment of the conditions stated in the proclamation would raise a presumption, that Clarke was acting on the faith of, in reliance upon, the proclamation, the presumption is rebutted by his own express admission …

[3.115] STARKE J: [244] In my opinion the true principle applicable to this type of case is that unless a person performs the conditions of the offer, acting upon its faith or in reliance upon it, he does not accept the offer and the offeror is not bound to him. As a matter of proof any person knowing of the offer who performs its conditions establishes prima facie an acceptance of that offer. And probably … the performance of some of the conditions required by the offer also establishes prima facie an acceptance of that offer, but does not of course establish the right of the person so performing some of the conditions of the offer to the reward until he has completely performed them all according to the proper construction of the offer. From such facts an acceptance is probable but it is not, as was urged, "an absolute proposition of law" that one, who, having the offer before him, acts as one would naturally be induced to act, is deemed to have acted on the faith of or in reliance upon that offer. It is an inference of fact and may be excluded by evidence. The statements or conduct of the party himself uncommunicated to the other party, or the circumstances of the case, may supply that evidence. Ordinarily, it is true, the law judges of the intention of a person in making a contract by outward expression only by words or acts communicated between them. But when the offeror, as in the anomalous case under consideration, has dispensed with any previous communications to himself of the acceptance of the offer the law is deprived of one of the means by which it judges of the intention of the parties, and the performance of the conditions of the offer is not in all cases conclusive for they may have been performed by one who never hears of the offer or who never intended to accept it. Hence the statements or conduct of the party himself uncommunicated to the other party are admissible to show the circumstances under which an act, seemingly within the terms of the offer, was done and the inducement which [245] led to the act. In the present case the statements of the petitioner himself satisfied the Chief Justice that he did not act on the faith of or in reliance upon the offer and we are unable to disturb that finding.

Appeal allowed.

Communication of acceptance

Silence and acceptance inferred from conduct

Felthouse v Bindley

[3.120] *Felthouse v Bindley* (1862) 11 CB (NS) 869; 142 ER 1037 (Court of Common Pleas) – Rule nisi for nonsuit.

[FACTS: After some discussion the plaintiff wrote to his nephew, John, offering to buy the latter's horse for £30 15s 0d, adding: "If I hear no more about him I shall consider the horse mine at £30 15s 0d." The nephew did not answer this letter but six weeks later an auctioneer employed by John to sell his farming stock sold the horse. John had directed the auctioneer not to sell the horse, saying that

Felthouse v Bindley cont.

it had already been sold, but the auctioneer sold it by mistake. The plaintiff sued the auctioneer in conversion and obtained the verdict. The defendant obtained a rule nisi to enter a nonsuit.]

WILLES J: [875] I am of opinion that the rule to enter a nonsuit should be made absolute. The horse in question had belonged to the plaintiff's nephew, John Felthouse. In December 1860, a conversation took place between the plaintiff and his nephew relative to the purchase of the horse by the former. The uncle seems to have thought that he had on that occasion bought the horse for £30, the nephew that he sold it for 30 guineas; but there was clearly no complete bargain at that time. On 1 January 1861, the nephew writes:

> I saw my father on Saturday. He told me that you considered you had bought the horse for £30. If so, you are labouring under a mistake, for 30 guineas was the price I put upon him, and you never heard me say less. When you said you would have him, I considered you were aware of the price.

To this his uncle replies on the following day: "Your price, I admit, was 30 guineas. I offered £30; never offered more: and you said the horse was mine. However, as there may be a mistake about him, I will split the difference. If I hear no more about him, I consider the horse mine at £30 15s."

It is clear that there was no complete bargain on 2 January; and it is also clear that the uncle had no right to impose upon the nephew a sale of his horse for £30 15s unless he chose to comply with the condition of writing to repudiate the offer. The nephew might, no doubt, have [876] bound his uncle to the bargain by writing to him: the uncle might also have retracted his offer at any time before acceptance. It stood an open offer: and so things remained until 25 February, when the nephew was about to sell his farming stock by auction. The horse in question being catalogued with the rest of the stock, the auctioneer (the defendant) was told that it was already sold. It is clear, therefore, that the nephew in his own mind intended his uncle to have the horse at the price which he (the uncle) had named – £30 15s – but he had not communicated such his intention to his uncle, or done anything to bind himself. Nothing, therefore, had been done to vest the property in the horse in the plaintiff down to 25 February, when the horse was sold by the defendant. It appears to me that, independently of the subsequent letters, there had been no bargain to pass the property in the horse to the plaintiff, and therefore that he had no right to complain of the sale. Then, what is the effect of the subsequent correspondence? The letter of the auctioneer amounts to nothing. The more important letter is that of the nephew, of 27 February, which is relied on as shewing that he intended to accept and did accept the terms offered by his uncle's letter of 2 January. That letter, however, may be treated either as an acceptance then for the first time made by him, or as a memorandum of a bargain complete before 25 February, sufficient within the *Statute of Frauds*. It seems to me that the former is the more likely construction: and, if so, it is clear that the plaintiff cannot recover. But, assuming that there had been a complete parol bargain before 25 February, and that the letter of the 27th was a mere expression of the terms of that prior bargain, and not a bargain then for the first time concluded, it would be directly [877] contrary to the decision of the Court of Exchequer in *Stockdale v Dunlop* (1840) 6 M & W 224; 151 ER 391, to hold that that acceptance had relation back to the previous offer so as to bind third persons in respect of a dealing with the property by them in the interim.

Rule absolute.

Empirnall Holdings v Machon Paull Partners

[3.125] *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* (1988) 14 NSWLR 523 (Court of Appeal of the Supreme Court of New South Wales) – Appeal from Smart J.

[FACTS: *Empirnall*, a property developer, retained architects Machon Paull (*Machon*) to draw plans, obtain approvals, and do other work in connection with a property redevelopment. Empirnall then

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asked Machon Paull if they would be interested in acting as project manager for the development. Machon Paull replied in the affirmative. Further work was done and the architects requested a progress payment and the execution by Empirnall of a contract for the works. They were told to submit the progress claim but were informed that "Mr Jury" (a director and the major shareholder of Empirnall) "does not sign contracts".

On 3 October 1983, the architects sent a letter to Empirnall which stated: "As discussed we enclose two copies of the building cost plus contract … and we ask that you arrange for them to be signed and return one copy as soon as possible."

Work continued and on 15 October 1983, Machon Paull submitted a second claim for payment which was duly paid. On 19 October 1983, they wrote to Empirnall's agent in the following terms:

> We are in receipt of the building approval and a copy of the conditions are enclosed for your information … With reference to our letter dated 3 October 1983, concerning the return of the signed contracts, we are proceeding on the understanding that the conditions of the contract are accepted by you and works are being conducted in accordance with those terms and conditions.

By the time the matter reached the Court of Appeal, the only question was whether there was a contract in the terms of the draft agreement sent by Machon Paull. This draft contained a provision charging the architects' fees and costs on the land the subject of the development. Empirnall had admitted that the sum claimed was owing under an oral contract.]

McHUGH JA: [534] Under the common law theory of contract, the silent acceptance of an offer is generally insufficient to create any contract … The objective theory of contract requires an external manifestation of assent to an offer. Convenience, and especially commercial convenience, has given rise to the rule that the acceptance of the offer should be communicated to the offeror. After a reasonable period has elapsed, silence is seen as a rejection and not an acceptance of the offer. Nevertheless, communication of acceptance is not always necessary. The offeror will be bound if he dispenses with the need to communicate the acceptance of his offer. However, an offeror cannot erect a contract between himself and the offeree by the device of stating that unless he hears from the offeree he will consider the offeree bound. He cannot assert that he will regard silence as acceptance: *Felthouse v Bindley* (1862) 11 CB (NS) 869 at 875; 142 ER 1037 at 1040. The common law's concern with the protection of freedom is opposed to the notion that a person must take action to reject an uninvited offer or be bound by contractual obligations.

Nevertheless, the silence of an offeree in conjunction with the other circumstances of the case may indicate that he has accepted the offer. The offeree may be under a duty to communicate his rejection of an offer. If he fails to do so, his silence will generally be regarded as an acceptance of the offer sufficient to form a contract. Many cases decided in United States jurisdictions have held that the custom of the trade, the course of dealing, or the previous relationship between the parties imposed a duty on the offeree to reject the offer or be bound. [535] But more often than not the offeree will be bound because, knowing of the terms of the offer and the offeror's intention to enter into a contract, he has exercised a choice and taken the benefit of the offer. In *Laurel Race Course Inc v Regal Construction Co Inc* 333 A 2d 319 (1975) a contractor proposed that it would do additional work upon the basis that, if the work was the result of its defective workmanship under the original contract, there would be no charge. Otherwise the work would be charged on a "cost-plus" basis. The building owner made no reply to this offer. The contractor commenced work on the job to the knowledge of the building owner who was held bound by the terms of the offer. Speaking for the Court of Appeals for Maryland, Judge Levine said (at 329):

> Where the offeree with reasonable opportunity to reject offered services takes the benefit of them under circumstances which would indicate to a reasonable person that they were offered with the expectation of compensation, he assents to the terms proposed and thus accepts the offer.

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This formulation states acceptance in terms of a rule of law. However, the question is one of fact. A more accurate statement is that where an offeree with a reasonable opportunity to reject the offer of goods or services takes the benefit of them under circumstances which indicate that they were to be paid for in accordance with the offer, it is open to the tribunal of fact to hold that the offer was accepted according to its terms. A useful analogy is to be found in the "ticket cases" where an offeree, who has or ought to have knowledge of the terms of a contract of carriage or bailment, is generally bound unless he raises objection: compare *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163 at 169 and *MacRobertson Miller Airline Services v Commissioner of State Taxation* (WA) (1975) 133 CLR 125 at 136–40.

The ultimate issue is whether a reasonable bystander would regard the conduct of the offeree, including his silence, as signalling to the offeror that his offer has been accepted …

In [the] circumstances Empirnall's acceptance of the work, when [536] considered objectively, should be taken as an acceptance of the work on the terms and conditions offered by Machon. The case is not so much one of acceptance by silence as one of taking the benefit of an offer with knowledge of its terms and knowledge of the offeror's reliance on payment being made in return for his work. Since the work for which payment is outstanding was carried out after 19 October 1983, there is no need to distinguish between the positions before and after that date.

Empirnall relied on Mr Abrahams' statement that "Eric does not sign contracts". However, this statement supports, rather than weakens, Machon's case. The objection was not to the terms and conditions but to the manner of acknowledging them. But, however this may be, the letter of 19 October sent one month later made clear what was the basis on which Machon was offering to perform the work. Since Empirnall has taken the benefit of the work with knowledge of the terms on which it was offered, an objective bystander would conclude that Empirnall had accepted the offer on those terms and conditions.

[KIRBY P delivered a judgment to substantially the same effect. SAMUELS JA agreed with McHUGH JA.]

Appeal dismissed.

Brambles Holdings v Bathurst City Council

[3.130] *Brambles Holdings Ltd v Bathurst City Council* [2001] NSWCA 61; (2001) 53 NSWLR 153 (Supreme Court of New South Wales, Court of Appeal) – Appeal from Hodgson CJ in Equity.

[FACTS: In 1982, Brambles, the *defendant/appellant*, and the Council, the *plaintiff/respondent*, entered into a contract for the defendant to manage the plaintiff's Solid Waste Disposal Depot. In about 1985, the defendant started to receive liquid waste at the Depot, and to charge for its acceptance. The defendant retained this money.

Before the first contract between the parties expired, the defendant tendered for a new contract and the plaintiff accepted the tender. However, after the expiration of the first contract on 1 November 1989, the parties continued to undertake negotiations in relation to the terms of the second contract. On 20 February 1990, the plaintiff wrote to the defendant stating that it was "appropriate" for the defendant to increase liquid waste fees to a certain level (1.1 cents/litre) upon completion of a liquid waste disposal area.

The parties entered into the second contract on 12 July 1990. Clauses 21 and 22 of the second contract specified the fee to be charged for "general commercial waste" and required a portion of that fee to be remitted to the plaintiff. On 19 September 1991, the plaintiff wrote to the defendant stating that it had resolved to increase liquid waste fees and that "additional income" should be

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placed in a fund for the establishment of a Liquid Waste Treatment Plant. The defendant responded in a letter dated 3 October 1991, by denying that the contract between the parties covered liquid waste. The defendant proceeded to charge liquid waste fees at the rate set out in the plaintiff's mid-September 1991 letter, but continued to retain the moneys. In 1996, the plaintiff sued the defendant in relation to the retained liquid waste fees. The trial judge entered judgment in favour of the plaintiff, and ordered the defendant to pay damages to the plaintiff.]

MASON P: [155] I agree with Ipp AJA's reasons as to the disposition of the contractual claim. As Heydon JA demonstrates, this case shows the difficulties of pressing too far classical theory of contract formation based upon offer and acceptance (see also *Pobjie Agencies Pty Ltd v Vinidex Tubemakers Pty Ltd* [2000] NSWCA 105).

HEYDON JA:

The trial judge's reasoning

[3.135] [161] [The trial judge] held that the 12 July 1990 agreement, in establishing fees for general commercial waste under cl 21, established fees for liquid waste, and prohibited the defendant from charging any other fees. That meant that the defendant was in breach of contract from 1 October 1991 on, but the Council could not point to any loss stemming solely from breach of the 12 July 1990 contract. The trial judge found that the loss could be recovered by reason of the second stage in his reasoning.

The second stage turned on a conclusion that the letter of 19 September 1991 was an offer which, though it was not accepted by the defendant's letter of 3 October 1991, was accepted by the defendant's conduct in charging the rates specified. This entitled the defendant to charge 6 cents, but only retain 1.1 cents. He held it was entitled to retain 1.1 cents because that was the figure permitted by the Council's letter of 20 February 1990 once the condition stipulated – "completion of an appropriate liquid waste disposal area" – was satisfied, which he held was the case ….

The 12 July 1990 contract

[3.140] [162] The defendant's first line of attack on the trial judge's reasoning related to his findings about the 12 July 1990 contract ….

[163] The defendant submitted that the trial judge "failed to apply conventional and accepted principles of the law of contract". He was said to have done so in three respects: failure to apply the principles as to the implication of terms; straining the contractual language; and failing to have proper regard to the factual matrix. An evaluation of these criticisms depends in part on bearing in mind what are the conventional and accepted principles of the law of contract relating to the problems in this case. These will be noted before the three criticisms are discussed.

To some extent the defendant's arguments turned on appeals to the conduct of the parties before the contract was made on 12 July 1990, to their conduct after the contract was made on that date, to their subjective beliefs and to submissions about the implication of terms. The first relevant principle of law is that pre-contractual conduct is only admissible on questions of construction if the contract is ambiguous and if the pre-contractual conduct casts light on the genesis of the contract, its objective aim, or the meaning of any descriptive term: *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 at 347–52.

[164] The second relevant principle is that post-contractual conduct is admissible on the question of whether a contract was formed: *Howard Smith & Co Ltd v Varawa* (1907) 5 CLR 68 at 77; *Barrier Wharfs Ltd v W Scott Fell & Co Ltd* (1908) 5 CLR 647 at 668, 669 and 672; *B Seppelt & Sons Ltd v Commissioner for Main Roads* (1975) 1 BPR 9,147at 9,149 and 9,154–6; *Film Bars Pty Ltd v Pacific Film Laboratories Pty Ltd* (1979) 1 BPR 9,251 at 9,255. The third relevant principle is that post-contractual conduct is not admissible on the question of what a contract means as distinct from the question of whether it was formed. As explained by Priestley JA (Meagher JA agreeing) in *Hide & Skin Trading Pty Ltd v Oceanic Meat Traders Ltd* (1990) 20 NSWLR 310 at 326–30, the status of the relevant High Court

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So far as the higher charges postdate 12 July 1990, they are inadmissible on the question of construing the 12 July 1990 contract. So far as they predate it, they are inadmissible because they do not appear to be part of the background circumstances of which account can be taken on the question of construing the contract, which is in any event not ambiguous. The terms of the 12 July 1990 contract were subject to negotiation from 8 June 1989 until 12 July 1990.

The defendant then submitted (para 31):

> His Honour's construction of the Contract is also inconsistent with what the parties subjectively believed the Contract covered: *Air Great Lakes Pty Ltd v KS Easter (Holdings) Pty Ltd* (1985) 2 NSWLR 309, 330. [167] A memorandum of 20 December 1989 (2/317) demonstrates that Council was of the view that the Contract did not cover fees for liquid waste. The letter of 3 October 1991 (3/614) suggests that Brambles was of the view that the Contract did not concern liquid waste disposal at all.

First, the passage referred to in the case cited is not authority for using the parties' subjective beliefs about the construction of the contract as a guide to its construction. The passage rather deals with the different topic of the parties' intention to effect legal relations, and the very limited role which a subjective intention not to contract has. Secondly, the memorandum of 20 December 1989 at most shows what the Council thought the predecessor to the 12 July 1990 contract, namely the 1982 deed, covered; it says nothing at all about what the 12 July 1990 contract would cover. Thirdly, the letter of 3 October 1991 is post-contractual conduct, and not admissible on question of construction ….

Failure to attend to the factual matrix?

[3.145] … In any event, whatever might flow from the factual matrix, it cannot be resorted to unless the 12 July 1990 contract is ambiguous: it is not.

[168] For the above reasons the trial judge's conclusions about the 12 July 1990 contract are correct. It should be noted that there is some evidence that in 1990 and 1991 both the Council and the defendant did not share his conclusions, but in the absence of any argument for a decree of rectification or for an estoppel by convention the actual opinions of the parties are irrelevant …

Acceptance of the 19 September 1991 offer by conduct

[3.150] [170] … [The submissions of the appellant] boil down to three propositions. First, the 19 September 1991 letter was not an offer. Secondly, if it was, it was rejected on 3 October 1991 and was not thereafter available for acceptance by conduct; and, even if it was available for acceptance, the conduct did not result in a completed agreement. Thirdly, even if there was a completed agreement, there was no consideration.

(a) Was the 19 September 1991 letter an offer?

… [171] There is much to be said for the view that the 19 September 1991 letter was not an offer, or cannot have been intended to affect legal relations by contract. That is because to some extent the letter does not take the form of proposing a particular course for examination by the defendant with a view to the defendant choosing between acceptance or rejection in the light of that examination. Rather it sets out a resolution permitting fees to rise, and then peremptorily requests the defendant to charge those fees. To that extent the letter uses the language of command.

Not only does the present point not appear to have been argued below, it was not pleaded: para 4 of the Amended Defence is a bare denial of the relevant paragraphs of the Council's Summary of Contentions. The point is one which, even though the former Commercial Division may not have been a court of strict pleading, might have taken the Council by surprise, and hence ought to have been pleaded either under Pt 15 r 13(2)(b) of the Supreme Court Rules or by reason of conventional practice in that Division. It is a point on which evidence might have been called. In the circumstances it should not be entertained in this Court.

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(b) Was the 19 September 1991 offer rejected by the 3 October 1991 letter so as to render it incapable of acceptance and, if it was, does that prevent it from forming the basis of a contract as a result of the sending of the 19 September 1991 offer and the defendant's conduct in charging higher fees?

… The 19 September 1991 letter concluded with a proposal that the new liquid waste fees (presumably the increased part, ie net of what the defendant [174] was able to retain) be paid in accordance with the cl 22 regime which had hitherto only applied to waste deposited by the defendant.

What on an objective construction was the reaction of the 3 October 1991 letter to the 19 September 1991 offer?

[3.155] The 3 October 1991 letter did not purport to terminate all negotiations with the Council and it invited further communications. But, in two respects, it rejected the assumptions or proposals contained in the 19 September 1991 letter.

First, the 3 October 1991 letter, the author of which was probably operating on the subjective assumption that the defendant could retain only the rate stipulated in the 25 June 1991 letter, which was the rate which the defendant was receiving at that time, made the point that the defendant could not continue to provide the service at that rate, because that rate did not make the service "viable". When the 3 October 1991 letter said that the defendant was seeking "Adequate tip fees for the work involved in providing for liquid disposal", it was rejecting what it was probably taking the Council to be offering – 0.3 cents per litre. But, even when the letter is read through the eyes of a reasonable bystander, who must be taken to have knowledge of the fact that, as the trial judge found, on the true construction of the 9 January–20 February 1990 and 25 June 1991 letters, the Council was willing to let the defendant charge 1.1 cents per litre, the 3 October 1991 letter is a rejection of the Council's offer to let it retain only 1.1 cents per litre.

Secondly, the 3 October 1991 letter also made it plain that it did not accept that there was any contractual regime in place so far as liquid waste was concerned … [175] According to the defendant, the effect of the rejection of the 19 September 1991 offer was that it ceased to have operative effect unless it was later revived in some way, and it was not. Hence it was not capable of being accepted by conduct ….

[176] The defendant's contention that the rejection of the Council's offer meant that it was no longer capable of acceptance by conduct, and its related contention that its conduct did not constitute acceptance, depend heavily on the view that offer and acceptance analysis must invariably be employed in reaching decisions about the formation of contracts. While the process by which many contracts are arrived at is reducible to an analysis turning on the making of an offer, the rejection of the offer by a counter-offer and so on until the last counter-offer is accepted, that analysis is neither sufficient to explain all cases nor necessary to explain all cases. Offer and acceptance analysis does not work well in various circumstances. One example is a contract for the transportation of passengers on mass public transport (*MacRobertson Miller Airline Services v Commissioner of State Taxation (Western Australia)* (1975) 133 CLR 125 at 136–40). Another is the contract between competitors in a regatta: though they did not communicate with each other but only with the organiser of the regatta, they are bound by their conduct in "entering for the race, and undertaking to be bound by [the] rules to the knowledge of each other" (*Clarke v Earl of Dunraven (The "Satanita")* [1897] AC 59 at 63). That case was applied in *Raguz v Sullivan* [2000] NSWCA 240 at [65]–[67]. Another example concerns the exchanges of contracts to sell land, which are hard to analyse in offer and acceptance terms; despite that Lord Greene MR observed of the practice: "Parties become bound by contract when, and in the manner in which, they intend and contemplate becoming bound. It is a question of the facts of each case …" (*Eccles v Bryant* [1948] 1 Ch 93 at 104).

Another example concerns simultaneous manifestations of consent (Horst K Lücke "Striking A Bargain" (1962) 1 Adel LR 293 at 295–9). Another example concerns contracts between numerous parties, or even two parties, negotiated at meetings but not assented to until each party executes counterparts. Another is where the contract is made through a single broker acting for both parties. Another is where the parties are deadlocked and they agree to submit to a solution reached by a third party.

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In *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd* [1975] AC 154 at 167, Lord Wilberforce, in delivering the majority advice of the Privy Council about a bargain evidenced by a bill of lading between a shipper and a stevedore made through a carrier as agent, said:

> It is only the precise analysis of this complex of relations into the classical offer and acceptance, with identifiable consideration, that seems to present difficulty, but this same difficulty exists in many situations of daily life, eg sales at auction; supermarket purchases; boarding an omnibus; purchasing a train ticket; tenders for the supply of goods; offers of rewards; acceptance by post; warranties of authority by agents; manufacturers' guarantees; gratuitous bailments; bankers' commercial credits. These are all examples which show that English law, having committed itself to a rather technical and schematic doctrine of contract, in application takes a practical approach, often at the cost of forcing the facts [177] to fit uneasily into the marked slots of offer, acceptance and consideration.

Anson's *Law of Contract* (27th ed, 1998) concludes:

> It would be a mistake to think that all contracts can thus be analysed into the form of offer and acceptance or that, in determining whether an exchange does give rise to a contract, the sole issue is whether the communications match and are identical. The analysis is, however, a working method which, more often than not, enables us, in a doubtful case, to ascertain whether a contract has in truth been concluded, and as such may usefully be retained.

Thus offer and acceptance analysis is a useful tool in most circumstances, and indeed is "normal" and "conventional" (*Gibson v Manchester City Council* [1979] 1 All ER 972 at 974 per Lord Diplock). But limited recognition has been given to the possibility of finding that contracts exist even though it is not easy to locate an offer or acceptance. In *Integrated Computer Services Pty Ltd v Digital Equipment Corp (Aust) Pty Ltd* (1988) 5 BPR 11,110 at 11,117–18 McHugh JA (Hope and Mahoney JJA concurring) said:

> It is often difficult to fit a commercial arrangement into the common lawyers' analysis of a contractual arrangement. Commercial discussions are often too unrefined to fit easily into the slots of "offer", "acceptance", "consideration" and "intention to create a legal relationship" which are the benchmarks of the contract of classical theory. In classical theory, the typical contract is a bilateral one and consists of an exchange of promises by means of an offer and its acceptance together with an intention to create a binding legal relationship …
>
> Moreover, in an ongoing relationship, it is not always easy to point to the precise moment when the legal criteria of a contract have been fulfilled. Agreements concerning terms and conditions which might be too uncertain or too illusory to enforce at a particular time in the relationship may by reason of the parties' subsequent conduct become sufficiently specific to give rise to legal rights and duties. In a dynamic commercial relationship new terms will be added or will supersede older terms. It is necessary therefore to look at the whole relationship and not only at what was said and done when the relationship was first formed.

Those passages were cited with approval by Ormiston J in *Vroon BV v Foster's Brewing Group* [1994] 2 VR 32 at 82–3. He also approved the following statement of Cooke J in *Meates v Attorney-General* [1983] NZLR 308 at 377:

> I would not treat difficulties in analysing the dealings into a strict classification of offer and acceptance as necessarily decisive in this field, although any difficulty on that head is a factor telling against a contract. The acid test in the case like the present is whether, viewed as a whole and objectively from the point of view of reasonable persons on both sides, the dealings show a concluded bargain.

Ormiston J said at 81:

> … I am prepared to accept … that agreement and thus a contract can be extracted from circumstances where no acceptance of an offer can be established or inferred and where

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> the most that can be said is that a manifestation of mutual assent must be implied from the circumstances. [178] In the language of para 22(2) of the *Second Restatement on Contracts*: "A manifestation of mutual assent may be made even though neither offer or acceptance could be identified and even though the moment of formation cannot be determined".

He concluded at 83: "there is now sufficient authority to justify the court inquiring as to the existence of an agreement evidenced otherwise than by offer and acceptance." In *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* (1988) 14 NSWLR 523 at 555 McHugh JA (with whom Samuels JA concurred) said:

> where an offeree with a reasonable opportunity to reject the offer of goods or services takes the benefit of them under circumstances which indicate that they were to be paid for in accordance with the offer, it is open to the tribunal of fact to hold that the offer was accepted according to its terms.

One further observation of McHugh JA in *Integrated Computer Services Pty Ltd v Digital Equipment Corp (Aust) Pty Ltd* (at 11,117) is relevant:

> it is an error "to suppose that merely because something has been done then there is therefore some contract in existence which has thereby been executed". Nevertheless, a contract may be inferred from the acts and conduct of parties as well as or in the absence of their words. The question in this class of case is whether the conduct of the parties, viewed in the light of the surrounding circumstances, shows a tacit understanding or agreement. The conduct of the parties, however, must be capable of proving all the essential elements of an express contract.

See also, to the same effect, *Pagnan SpA v Feed Products Ltd* [1987] 2 Lloyd's Rep 601 at 611 (affirmed on appeal at 615).

A similar principle was enunciated in *Brogden v Metropolitan Railway Co* (1877) 2 App Cas 666 at 682, where Lord Hatherley adopted the language of a concession by Mr Herschell QC as sound:

> he says that he will not contend that this agreement is not to be held to be a binding and firm agreement between the parties, if it should be found that, although there has been no formal recognition of the agreement in terms by the one side, yet the course of dealing and conduct of the party to whom the agreement was propounded has been such as legitimately to lead to the inference that those with whom they were dealing were made aware by that course of dealing, that the contract which they had propounded had been in fact accepted by the persons who so dealt with them.

Thus if a vendor of property, having been informed of its real estate agent's scale of fees, permits the real estate agent to continue endeavouring to sell the property, the vendor will be taken to have agreed to that sale by conduct (*Way & Waller Ltd v Ryde* [1944] 1 All ER 9 at 10).

While in *Toyota Motor Corporation Australia Ltd v Ken Morgan Motors Pty Ltd* [1994] 2 VR 106 at 178 Tadgell J exhibited some caution about the finding of a contract merely on the basis of a manifestation of mutual assent, he did quote *Williston on Contracts*, Vol I, para 4:3, p 258, to the following effect:

> It is not necessary to insist that assent must always be manifested by means of offer and acceptance, but cases where offer and acceptance are lacking are so rare that for purposes of general discussion they may be [179] disregarded. When they arise, they can be easily reduced to fundamental principles, particularly in the light of the modern view, adopted by both the Uniform Commercial Code and Restatement (Second), that so long as a manifestation of mutual assent is present, a contract can be found to exist though no offer or acceptance can be identified and though the precise moment that the contract thereby comes into being cannot be determined.

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He continued:

> If a contract is to be discerned in the absence of offer and acceptance I venture the suggestion that … it is to be discovered by inferring from the relevant facts the conclusion that the parties have agreed to incur reciprocal promissory obligations … As Williston suggests, the necessity or opportunity so to infer in the absence of offer and acceptance is likely to be rare ….

If offer and acceptance analysis is not always necessary or sufficient, principles such as the general principle that a rejection of an offer brings it to an end cannot be universal. A rejected offer could remain operative if it were repeated, or otherwise revived, or if in the circumstances it should for some other reason be treated, despite its rejection, as remaining on foot, available for acceptance, or for adoption as the basis of mutual assent manifested by conduct.

In the light of the above cases, it is relevant to ask: in all the circumstances can an agreement be inferred? Has mutual assent been manifested? What would a reasonable person in the position of the Council and a reasonable person in the position of the defendant think as to whether there was a concluded bargain?

Applying the test stated by McHugh JA in *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd*, the 19 September 1991 letter offered "services" in the sense of a commercial benefit. The commercial benefit was a contractual right, which had not existed before, to charge up to 6 cents per litre and retain 1.1 of that 6 cents. (While the defendant and the Council may at the time have regarded the figure to be retained as only 0.3 cents, as Hodgson J construed the letter of 25 June 1991, they were in error, and it is the reaction of reasonable parties, not the actual parties, which must be analysed.) The parties had treated the 9 January and 20 February 1990 letters as having conferred that benefit in a practical sense, but the conferral of the benefit lacked contractual backing. The defendant, as offeree, had a reasonable opportunity to reject the offer: indeed, initially it did reject the offer. However, it soon took advantage of the benefit offered. It knew that the only basis on which the Council was prepared to permit the higher prices to be charged and the 1.1 cents retained as a matter of contractual right was the basis stated in the 19 September 1991 letter. The charging of the higher prices by the defendant could convey one of two possibilities, that it was acting in breach of the condition on which the benefit was being conferred, or that the defendant was accepting that condition. A reasonable bystander, and in particular a reasonable bystander in the position of the Council, would prefer the latter possibility. Once the Council came to learn that the defendant was charging the higher fees from October it would reasonably have thought that a contract existed between the parties on the terms of the 19 September 1991 letter. Breach of the condition on which the benefit was being conferred did not take place when the higher fees were charged; it only took place when that part of the higher fees [180] which had to be passed over to the Council was not passed over pursuant to the 18 September 1991 letter and cl 22 of the 12 July 1990 agreement, namely within "one calendar month of the end of each quarter". The first breach of that condition took place on 31 January 1992, well after the fees increased. The first breach of the duty to keep records and issue dockets to Council also took place after the increased fees began to be charged.

There is some evidence that Mr Pitkin of the Council and Mr Grundy of the defendant believed that there was no contractual regime for liquid waste fees but that the Council had some other power to fix them. That does not matter. Reasonable persons in the position of the Council and the defendant would construe the 19 September 1991 letter and the defendant's later conduct as henceforth putting the regime for liquid waste fees on a contractual basis, whatever the position had been before ….

[181] One way of putting the applicable test is the way that Scrutton LJ put it in *Sullivan v Constable* (1932) 48 TLR 369 at 370: "If the [defendant] had so acted that the plaintiff was reasonably entitled to believe that [the defendant] was assenting to the position which had been asserted by the plaintiff, the [defendant] was bound."

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A similar test was stated by *Chitty on Contracts* (28th ed, 1999) Vol 1, para 2-027: "conduct will only amount to acceptance if it is clear that the offeree did the act with the intention (actual or *apparent*) of accepting the offer" (emphasis added). A reasonable person in the Council's shoes would, in the light of the defendant's decision to charge the higher fees of which the Council speedily learned, have been reasonably entitled to believe that the defendant was assenting to the position asserted in the 19 September 1991 letter despite its initial rejection. That was the apparent intention underlying its conduct. The fact that the defendant did not communicate its move to the new fee levels directly to the Council does not matter. Speaking of the general rule that an acceptance must be communicated to the offeror, *Chitty on Contracts* (28th ed, 1999), Vol 1, para 2-041 states:

> The main reason for the rule is that it could cause hardship to the offeror to be bound without knowing that his offer had been accepted. It follows that, so long as the offeror knows of the acceptance, there can be a contract even though the acceptance was not brought to his notice by the offeree.

Had the defendant wished to reserve to itself the right to retain the whole of the higher fees despite the position which Council had communicated in the letter of 19 September 1991, it was incumbent on it to inform the Council that it considered it had a right to charge the higher fees and retain the whole of them and proposed to act on that view. It did not communicate that view in its letter of 3 October 1991. And it did not communicate that view at any other time. Its failure to do so meant that the Council was reasonably entitled to believe that the defendant was acting in conformity with the letter of 19 September 1991 and entering a contract on its terms.

If, a few months after 19 September 1991, the Council had demanded that all fees received above those stipulated for in cl 21 and cl 22 be paid to it, and the defendant alleged that it was contractually entitled to retain the fees up to 1.1 cents, what would have prevented that contention from succeeding? On the trial judge's findings, that contention could not have been met by appeal to the 9 January–20 February 1990 letters. But why could it not have been met by reference to the 19 September 1991 letter and the defendant's actions in conformity with it? The defendant's submissions to this Court offered no satisfactory answer to that question.

It was submitted that the defendant's conduct amounted to taking advantage of the beneficial parts of the 19 September 1991 proposal but not submitting to its disadvantageous aspects, and hence that the conduct did not establish consent to them. In all the circumstances it was for the defendant to make plain that its conduct amounted only to taking advantage of the proposal but not to submitting to the disadvantages if that was its position. It did not express that position until some years had passed. [182]

(c) Even if the 19 September 1991 letter was accepted by conduct or otherwise stated contractual terms, was there consideration?

The trial judge found consideration in the fact that while the letters of 9 January–20 February 1990 authorised the defendant to retain 1.1 cents per litre, he did not find that this created any contractual entitlement. The effect of accepting the 19 September 1991 offer was to give a contractual entitlement. That is a benefit capable of amounting to consideration and moving from the Council as promisee. It is crucial to this reasoning that the 9 January–20 February 1990 letters did not create a contract. The trial judge's failure to find that the 9 January and 20 February 1990 letters created a contract, and his implicit finding that they did not (in his use of the words "The pre-existing authorisation of 1.1c was put on a firmer footing"), is supported by the fact that when the Council purported to amend the rate by its letter of 25 June 1991, the defendant did not protest, as it could have if its rights were contractual. This subsequent conduct of the parties is admissible on the issue of whether there was a contract at all, and points strongly against it. The fact that there was no response to the 20 February 1990 letter, in which the Council put a proposal to the defendant different from that which the defendant had put to the Council on 9 January 1990, also indicates that there was no contract formed by the letters.

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A further benefit to the defendant was, as the trial judge said, that the problem of excessive depositing of liquid waste was burdensome to the defendant, and the higher charges, in operating as a deterrent to the excessive depositing of liquid waste, benefited the defendant intending to reduce those burdens. There was also a benefit to the Council as promisor, namely the creation of a fund which by creating a reserve to establish a liquid waste treatment plant, would enable liquid waste to be disposed of more efficiently and in a more environmentally friendly manner. That in turn would have advantages for the defendant in increasing the capacity of the site to carry waste ….

IPP JA:

The dispute about fees for collecting and depositing liquid waste

[3.160] [184] For the reasons set out by Heydon JA, I agree that the July 1990 contract governed the charging of liquid waste and regulated the fees that the appellant was entitled to charge and the parties' obligations to each other in respect of [185] the liquid waste fees collected. It is, accordingly, unnecessary for me to say anything more in this respect. I also agree with Heydon JA for the reasons set out by him that the letter of 19 September 1991 has to be treated as a contractual offer, this being how the case was conducted at trial. It is now too late for the appellant to argue that, in writing that letter, the Council had no contractual intent. This was not an issue raised or investigated at the trial. I, too, have come to the conclusion that the offer contained in the letter of 19 September 1991 was accepted and the October 1991 contract was concluded. I have, however, done so by a route different to that followed by Heydon JA and the learned trial judge. In order to explain how I have arrived at this conclusion it is necessary for me to set out the background facts.

[His Honour set out the background facts and continued:]

The construction of the 19 September 1991 letter: the ambiguities

[3.165] [191] While the finding that the July 1990 contract governed the charging of fees for liquid waste inevitably results in the further finding that the appellant committed a breach of that contract by charging more for liquid waste than that contract allowed, it does not follow that the Council, in consequence, suffered any loss. For the Council, without more, to succeed in its claim for damages, it would have to establish a right to restitutionary damages, a proposition open to serious doubt. Whether the offer contained in the 19 September 1991 letter was accepted (and the October 1991 contract was thereby concluded), is therefore an issue of significant importance.

In considering whether the 19 September 1991 offer was accepted, it is necessary to determine, precisely, the terms of that offer: *Quadling v Robinson & Anor* (1976) 137 CLR 192 at 201.

It is nowadays a trite proposition that, if the language of a contract is ambiguous, evidence of surrounding circumstances is admissible for the purposes of construing the contract:

> *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* (1982) 149 CLR 337 at 352. Where ambiguities exist, mutually known facts establishing the commercial purpose of the contract, the genesis of the transaction, the background and the context in which the parties are operating will be admissible: *Reardon Smith Line Ltd v Hansen-Tangen* (1976) 1 WLR 989 (at 995 to 996 per Lord Wilberforce). On this basis, the shared beliefs of the parties as to their respective rights as they existed immediately before the contract was entered into are admissible, such beliefs constituting common assumptions: *Codelfa Construction Pty Ltd v State Rail Authority of New South Wales* at 353–4.

[192] In *B & B Constructions (Aust) Pty Ltd v Brian A Cheeseman & Associates Pty Ltd* (1994) 35 NSWLR 227, 245 Mahoney J drew attention to the recent tendency to apply the parol evidence rule in a less restrictive way (see, for example, the statement of McHugh JA in *Manufacturers Mutual Insurance Ltd v Withers* (1988) 5 ANZ Insurance Cases para 60-853 at 75,343). Mahoney J went on to say:

> The Court is not confined to the examination of the text of the document. It is entitled to know, by extrinsic evidence or otherwise, what was the context in which the document was executed and the problem or problems which were to be solved by it.

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not believe that the July 1990 contract applied to liquid waste and they did not intend to invoke any clause of that contract on the basis that it governed the determination of fees for liquid waste.

Accordingly, the last sentence of the letter of 19 September 1991 must be construed as seeking to incorporate cl 22 of the July 1990 contract by reference in the way I have explained. That being so, the Council was not thereby asserting that the July 1990 contract was, generally, of application to the charging of fees for liquid waste. Moreover, the "additional income" referred to in the letter of 19 September 1991, objectively construed by reference to the relevant background facts, means income additional to 1.1 cents per litre, that being the fee the appellant was entitled to retain pursuant to the 20 February 1990 letter, read with the letter of 25 June 1991.

Was the offer of 19 September 1991 rejected by the letter of 3 October 1991?

[3.180] The question whether the letter of 3 October 1991 amounted to a rejection of the offer of 11 September 1991 involves a matter of construction: *Quadling v Robinson* at 201. The effect of the appellant's letter of 3 October 1991 has to be considered in the light of the construction of the letter of 19 September 1991. On that basis, the appellant's statement in the letter of 3 October 1991 that it "has no contract with Council for liquid disposal" was not a rejection of the offer contained in the earlier letter. The Council had not asserted that such a contract existed.

Similarly, when the letter of 3 October 1991 is read in context and as a whole, the statement that "the present rates do not make it viable to continue providing a liquid disposal service" was not a rejection of the offer. This statement was in the same tenor as the request by the appellant for "adequate tip fees for the work involved in providing for liquid disposal". These remarks were merely part of the posturing that often accompanies negotiation.

The attitude displayed in the letter of 3 October 1991 is similar to that of the plaintiffs in *Stevenson, Jacques & Company v McLean* (1880) 5 QBD 346. In that case the defendant contemplated selling a quantity of iron to the plaintiffs. He wrote to the plaintiffs to the effect that he would sell for forty shillings nett cash per ton, the offer to remain open until Monday. On the Monday, the plaintiffs' telegraphed the defendant, "Please wire whether you would accept forty for delivery over two months or, if not, longest limit you would give." The plaintiffs sent a further telegraph message to the defendant informing him that, acting as his agents, they had secured a sale at the price he was asking. The question arose whether, by their first telegram, the plaintiffs had rejected the defendant's offer, thereby rendering it incapable of acceptance at a later date. Lush J held (at 350) that the plaintiffs' telegram was in the form of an inquiry, there was "nothing specific by way of offer or rejection". I regard the letter of 3 October 1991 in the same light.

[195] In my view, the letter of 3 October 1991 expressed dissatisfaction with the offer of 11 September 1991 and set out the appellant's argument for higher fees, but did not amount to a rejection. The appellant was attempting thereby to create a platform for further negotiation while leaving the offer of 11 September 1991 open for acceptance.

Did the appellant accept the offer of 19 September 1991: the appellant's argument

[3.185] The Council pleaded that a contract was constituted by the letters of 19 September 1991, 3 October 1991 and 15 October 1991 together with "the consent of the [appellant] in accepting liquid waste and levying fees therefor". Of these, it is only the pleaded conduct of the appellant in charging the fees stipulated in the letter of 19 September 1991 that is capable of constituting an acceptance of the offer contained in that letter.

The conditions proposed by the letter of 11 September 1991 (properly construed) were as follows:

(a) Liquid waste disposal costs were to be increased to 1.3 cents per litre from 1 October 1991 and then quarterly by 1 cent per litre up to a figure of 6 cents per litre.

(b) The appellant was to charge those fees to Cleanaway, Mr Landers and all other depositors of liquid wastes at the depot.

(c) The respondent was to keep records and issue dockets to the Council each week.

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(d) The appellant was to retain 1.1 cents per litre of the fees collected by it and pay the additional income to the Council "each quarter in accordance with cl 22 of the contract".

As mentioned, the appellant charged fees as contemplated by the letter of 11 September 1991 to itself, Mr Landers and all other depositors. It retained all the monies it so collected itself and did not comply with the other conditions. Accordingly, the appellant submitted, its conduct did not amount to an absolute and unqualified acceptance of the offer.

Did the appellant accept the offer of 19 September 1991: the relevant surrounding circumstances

[3.190] In *Brogden v Metropolitan Railway Co* (1877) 2 App Cas 666 Lord Hatherley said (at 686) that, for conduct to amount to implied acceptance of an offer, it must be "of such a character as necessarily to lead to the inference on the part of the defendants that the agreement had been accepted on the part of the plaintiffs and was to be acted upon by them". The question is one of fact (*Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* (1988) 14 NSWLR 523 at 535 per McHugh JA) and its determination depends on an examination of the facts said to give rise to an acceptance, seen in their context.

A significant feature of the relevant context is the purpose of the offer, as mutually understood. One important purpose is manifest from the letter of 19 September 1991 itself, namely, the creation of a monetary reserve for the establishment of a liquid waste treatment plant.

I have referred to the problems that were being experienced because of the vast increase of liquid waste being deposited at the depot. This had caused difficult physical conditions on site, making handling expensive and hindering the disposal of solid waste. These difficulties tended, practically, to limit the [196] quantity of liquid waste that could be deposited and limit the income that the appellant could earn from both liquid and solid waste. The Council, too, was being prejudiced as the services it wished to make available to the community at the depot were deteriorating.

The establishment of a liquid waste treatment plant would ameliorate these difficulties. It is true that the July 1990 contract was due to expire in 1996 and there was no evidence as to when such a plant would be constructed, but the relationship between the appellant and the Council in regard to the management of the depot had endured since 1982 and there was no evidence to suggest that it was likely to terminate on the expiry of the current contract. The construction of a treatment plant was likely to be to the mutual advantage of both …. Additionally, the increase in prices would act as a disincentive to the public to use the depot for the depositing of liquid waste.

Hence, the purpose of the offer of 19 September 1991 was to arrive at an agreement whereby funds for a liquid waste treatment plant could be obtained over a period when the quantities of liquid waste deposited at the depot would be reduced. This purpose was known to the appellant.

A further factor to be born in mind is that the offer involved the continued use by the appellant of the Council's land for the depositing of liquid waste. In other words, the Council was proposing to the appellant that it might continue to use the Council's land for that purpose and charge higher fees for the liquid waste deposited, on the basis suggested.

In reality, this proposal was a concession by the Council. True it is that cl 6 of the July 1990 contract required the appellant to keep the depot open for the receipt of trade refuse (which included liquid waste) from 8.30 am to 5.30 pm seven days a week, and it was implicit in this clause that the Council would allow its property to be used for the receipt of liquid waste during the periods stipulated. But the Council's obligations in this respect were impliedly conditioned by considerations of reasonableness. The appellant was not entitled to collect or accept liquid waste in excessive quantities that would damage the Council's land or otherwise prejudice the operation of the purpose of the depot (which was primarily to receive solid waste).

By September 1991, the site problems to which I have adverted were reaching the stage where the Council would have had to consider, on the grounds of reasonableness, limiting the depositing of liquid waste. Were the offer of 19 September to be accepted, the Council was unlikely to impose any such limit.

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Did the appellant accept the offer of 19 September 1991: conclusion

[3.195] Both parties believed that fees for liquid waste could not be increased without the Council's assent. By the offer, the Council was proposing an increase in fees, but only on condition that the moneys received from that increase were to be retained by the appellant and paid to the Council to be used as a reserve for the establishment [of] a liquid waste treatment plant. The establishment of such a plant was a matter of fundamental significance to the Council.

The letter of 19 September 1991 when read in context, reflects a scheme whereby the Council intended to finance the construction of a liquid waste treatment plant by the additional income to be derived from the increase in liquid waste disposal fees. This was the sole reason for the Council proposing [172] the increase in fees. The two matters were dependent on each other and inextricably linked. They were not capable of being separated.

In these circumstances, in my view, the fact that the appellant charged the higher fees is conclusive evidence that it agreed to all the conditions contained in the offer of 19 September 1991. When regard is had to the indivisible nature of the offer, the appellant's conduct, objectively viewed, was an unequivocal acceptance of the offer. The appellant accepted the benefits proposed, namely, the charging of the higher fees while using the Council's land. Those benefits could not be severed from the obligations proposed. Accordingly, by accepting those benefits the appellant accepted the Council's offer in accordance with its terms (cf *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* at 535).

Consideration

[3.200] By the October 1991 contract the appellant was not allowed to retain any moneys additional to the 1.1 cents per litre to which it was entitled under the arrangement that, as at that date, was already in place. The appellant submitted that this meant that it received no consideration and, therefore, the contract was not binding.

The October 1991 contract laid the basis for the establishment of a liquid waste treatment plant that would enable more liquid waste to be deposited at the depot and alleviate problems with the handling of solid waste. This would enable the appellant, in consequence, to earn more. Moreover, the practical effect of the October 1991 contract was to enable the appellant to continue using the Council's land for the depositing of liquid waste without the real prospect of the Council imposing any limit on such depositing.

The benefits which I have outlined were adequate consideration for the October 1991 contract.

Conclusion

[3.205] Having found that the offer was accepted and that there was consideration, it follows that I consider that Hodgson CJ in Eq correctly found that the parties entered into the October 1991 contract and that contract was binding and enforceable.

It is therefore unnecessary for me to deal with the issues that arise out of the Council's alternative claims.

Accordingly, I would dismiss the appeal. I agree with the orders proposed by Heydon JA.

Appeal dismissed.

Method of communication

Postal acceptance rule

[3.210] From the time of the decision in *Adams v Lindsell* (1818) 1 B & A 681; 106 ER 250, the "postal rule" (called the "mailbox rule" in the United States) has governed acceptances sent by post. In *Henthorn v Fraser* [1892] 2 Ch 27, 33, Lord Herschell stated the principle as follows:

> Where the circumstances are such that it must have been within the contemplation of the parties that, according to the ordinary usages of mankind, the post might be used as a means of communicating the acceptance of an offer, the acceptance is complete as soon as it is posted.

In *Tallerman & Co Pty Ltd v Nathan's Merchandise* (1957) 98 CLR 93, 111–112, Dixon CJ and Fullagar J appeared to take a more restrictive view of the circumstances in which the postal rule is to be applied:

> The general rule is that a contract is not completed until acceptance of an offer is actually communicated to the offeror, and a finding that a contract is completed by the posting of a letter of acceptance cannot be justified unless it is to be inferred that the offeror contemplated and intended that his offer might be accepted by the doing of that act: see *Henthorn v Fraser* [1892] 2 Ch 27, at 35, per Kay LJ. In that case as in *Household Fire & Carriage Accident Insurance Co (Ltd) v Grant* (1879) 4 Ex D 216, it was easy to draw such an inference, but in such a case as the present, where solicitors are conducting a highly contentious correspondence, one would have thought that actual communication would be regarded as essential to the conclusion of agreement on anything.

In *Bressan v Squires* [1974] 2 NSWLR 460, 461–2, Bowen CJ in Eq said:

> According to [the formulation of Lord Hershell in *Henthorn v Fraser*], all that needs to be in contemplation of the parties is the post as a mode, indeed as a possible or permitted mode, for the law to impose the consequence that the contract is concluded by the action of posting. It is not required that it should be within the contemplation of the parties that the action of posting should have the consequence of concluding the contract; this, of course, would apply in relatively fewer cases, and would narrow the application of the exception.
>
> At first reading, it might be thought that the formulation by Dixon CJ and Fullagar J in *Tallerman & Co Pty Ltd v Nathan's Merchandise (Victoria) Pty Ltd* … constituted an adoption of this narrower basis … The reference made by their Honours to the judgment of Kay LJ in *Henthorn v Fraser*, however, suggests to my mind they were not intending to narrow the exception.

Brinkibon v Stahag Stahl Und Stahlwarenhandelsgesellschaft

[3.215] *Brinkibon Ltd v Stahag Stahl Und Stahlwarenhandelsgesellschaft mbH* [1983] 2 AC 34 (House of Lords) – Appeal from the Court of Appeal.

[FACTS: After prolonged negotiations for the sale of a quantity of steel bars, the *buyers*, an English company, sent a telex to Vienna accepting the terms of sale offered by the *sellers*, an Austrian company. The contract was not performed and the buyers wished to sue the sellers, but the sellers objected on the grounds that the English courts had no jurisdiction over an Austrian company. Order II, r 1(1)(f) of the *Rules of the Supreme Court 1965 (England and Wales)* allowed a party to serve a writ on someone outside the jurisdiction, "if the contract was made within the jurisdiction" and, accordingly, the House of Lords had to decide when and where the contract was made.]

LORD WILBERFORCE: [40] In the present case it seems that if there was a contract (a question which can only be decided at the trial), it was preceded by and possibly formed by a number of telephone conversations and telexes between London and Vienna, and there are a number of possible combinations [41] on which reliance can be placed. At this stage we must take the alternatives which provide reasonable evidence of a contract in order to see if the test is satisfied. There are two:

(1) A telex dated 3 May 1979 from the sellers in Vienna, said to amount to a counter-offer, followed by a telex from the buyers in London to the sellers in Vienna dated 4 May 1979, said to amount to an acceptance.
(2) …

Brinkibon v Stahag Stahl Und Stahlwarenhandelsgesellschaft cont.

> The first of these alternatives neatly raises the question whether an acceptance by telex sent from London but received in Vienna causes a contract to be made in London or in Vienna. If the acceptance had been sent by post, or by telegram, then, on existing authorities, it would have been complete when put into the hands of the Post Office, in London. If on the other hand it had been telephoned, it would have been complete when heard by the offeror, in Vienna. So in which category is a telex communication to be placed? Existing authority of the Court of Appeal decides in favour of the latter category, that is, a telex is to be assimilated to other methods of instantaneous communication: see *Entores Ltd v Miles Far East Corp* [1955] 2 All ER 493; [1955] 2 QB 327. The buyers ask that this case, which has stood for 30 years, should now be reviewed.

Now such review as is necessary must be made against the background of the law as to the making of contracts. The general rule, it is hardly necessary to state, is that a contract is formed *when* acceptance of an offer is communicated by the offeree to the offeror. And if it is necessary to determine *where* a contract is formed … it appears logical that this should be at the place where acceptance is communicated to the offeror. In the common case of contracts, whether oral or in writing inter praesentes, there is no difficulty; and again logic demands that even where there is no mutual presence at the same place and at the same time, if communication is instantaneous, for example by telephone or radio communication, the same result should follow.

Then there is the case (very common) of communication at a distance, to meet which the so called "postal rule" has developed … In these cases too it seems logical to say that the place, as well as the time, of acceptance should be *where* (as *when)* the acceptance is put into the charge of the post office.

In this situation, with a general rule covering instantaneous communication inter praesentes, or at a distance, with an exception applying to [42] non-instantaneous communication at a distance, how should communications by telex be categorised? In *Entores Ltd v Miles Far East Corp* the Court of Appeal classified them with instantaneous communications. Their ruling, which has passed into the textbooks, including *Williston on Contracts*, appears not to have caused either adverse comment, or any difficulty to businessmen. I would accept it as a general rule. Where the condition of simultaneity is met, and where it appears to be within the mutual intention of the parties that contractual exchanges should take place in this way, I think it a sound rule, but not necessarily a universal rule.

Since 1955 the use of telex communication has been greatly expanded, and there are many variants on it. The senders and recipients may not be the principals to the contemplated contract. They may be servants or agents with limited authority. The message may not reach, or be intended to reach, the designated recipient immediately: messages may be sent out of office hours, or at night, with the intention, or on the assumption, that they will be read at a later time. There may be some error or default at the recipient's end which prevents receipt at the time contemplated and believed in by the sender. The message may have been sent and/or received through machines operated by third persons. And many other variations may occur. No universal rule can cover all such cases; they must be resolved by reference to the intentions of the parties, by sound business practice and in some cases by a judgment where the risks should lie …

The present case is, as *Entores Ltd v Miles Far East Corp* itself, the simple case of instantaneous communication between principals, and, in accordance with the general rule, involves that the contract (if any) was made when and where the acceptance was received. This was on May 4 1979 in Vienna …

I find myself in agreement with the Court of Appeal, and the appeal must be dismissed.

[LORD FRASER OF TULLYBELTON and LORD BRANDON OF OAKBROOK delivered concurring judgments; LORD RUSSELL OF KILLOWEN and LORD BRIDGE OF HARWICK concurred in the judgments of LORD WILBERFORCE and LORD BRANDON.]

Appeal dismissed.

[3.220] **Note**

In *Reese Bros Plastics Ltd v Hamon-Sobelco Australia Pty Ltd* (1988) 5 BPR 11,106, the Court of Appeal of the Supreme Court of New South Wales accepted that the instantaneous communication principle should be applied to facsimile messages.

Electronic communications

[3.225] The time of receipt of electronic communications is now governed by legislation in all Australian States and Territories. The Electronic Transactions Acts were based on the United Nations Commission on International Trade Law (UNCITRAL) Model Law on Electronic Commerce (1996), which has since been supplemented by the United Nations *Convention on the Use of Electronic Communications in International Contracts 2005*.

The New South Wales legislation is set out below. Equivalent or identical provisions are to be found in: *Electronic Transactions Act 1999* (Cth), ss 5, 14A and 15A–15F; *Electronic Transactions Act 2000* (Tas), ss 3, 11A and 12A–12E; *Electronic Transactions (Northern Territory) Act* (NT), ss 5, 13A and 14A–14E; *Electronic Communications Act 2000* (SA), ss 5, 13A and 14A–14E; *Electronic Transactions (Victoria) Act 2000* (Vic), ss 3 and 13A–14E; *Electronic Transactions Act 2011* (WA), ss 5, 14(1) and 17–21.

Electronic Transactions Act 2000 (NSW)

[3.230] *Electronic Transactions Act 2000* (NSW), ss 5, 13A, 14A–14E.

5 Interpretation

(1) In this Act:

addressee of an electronic communication means a person who is intended by the originator to receive the electronic communication, but does not include a person acting as an intermediary with respect to the electronic communication.

automated message system means a computer program or an electronic or other automated means used to initiate an action or respond to data messages in whole or in part, without review or intervention by a natural person each time an action is initiated or a response is generated by the system.

electronic communication means:

(a) a communication of information in the form of data, text or images by means of guided or unguided electromagnetic energy, or both, or

(b) a communication of information in the form of sound by means of guided or unguided electromagnetic energy, or both, where the sound is processed at its destination by an automated voice recognition system.

information system means a system for generating, sending, receiving, storing or otherwise processing electronic communications.

transaction includes:

(a) any transaction in the nature of a contract, agreement or other arrangement, and

(b) any statement, declaration, demand, notice or request, including an offer and the acceptance of an offer, that the parties are required to make or choose to make in connection with the formation or performance of a contract, agreement or other arrangement, and

(c) any transaction of a non-commercial nature.

Electronic Transactions Act 2000 (NSW) cont.

Part 2 Application of legal requirements to electronic communications

13A Time of Receipt

(1) For the purposes of a law of this jurisdiction, unless otherwise agreed between the originator and the addressee of an electronic communication:

(a) the time of receipt of the electronic communication is the time when the electronic communication becomes capable of being retrieved by the addressee at an electronic address designated by the addressee, or

(b) the time of receipt of the electronic communication at another electronic address of the addressee is the time when both:

(i) the electronic communication has become capable of being retrieved by the addressee at that address, and

(ii) the addressee has become aware that the electronic communication has been sent to that address.

(2) For the purposes of subsection (1), unless otherwise agreed between the originator and the addressee of the electronic communication, it is to be assumed that the electronic communication is capable of being retrieved by the addressee when it reaches the addressee's electronic address.

(3) Subsection (1) applies even though the place where the information system supporting an electronic address is located may be different from the place where the electronic communication is taken to have been received under section 13B.

Part 2A Additional provisions applying to contracts involving electronic communications

14A Application and operation of this Part

This Part applies to the use of electronic communications in connection with the formation or performance of a contract between parties where the proper law of the contract is (or would on its formation be) the law of this jurisdiction, and so applies:

(a) whether some or all of the parties are located within Australia or elsewhere, and

(b) whether the contract is for business purposes, for personal, family or household purposes, or for other purposes.

14B Invitation to treat regarding contracts

(1) A proposal to form a contract made through one or more electronic communications that:

(a) is not addressed to one or more specific parties, and

(b) is generally accessible to parties making use of information systems,

is to be considered as an invitation to make offers, unless it clearly indicates the intention of the party making the proposal to be bound in case of acceptance.

(2) Subsection (1) extends to proposals that make use of interactive applications for the placement of orders through information systems.

14C Use of automated message systems for contract formation – non-intervention of natural person

A contract formed by:

(a) the interaction of an automated message system and a natural person, or

(b) the interaction of automated message systems,

is not invalid, void or unenforceable on the sole ground that no natural person reviewed or intervened in each of the individual actions carried out by the automated message systems or the resulting contract.

14D Error in electronic communications regarding contracts

Electronic Transactions Act 2000 (NSW) cont.

(1) This section applies in relation to a statement, declaration, demand, notice or request, including an offer and the acceptance of an offer, that the parties are required to make or choose to make in connection with the formation or performance of a contract.

(2) If:

(a) a natural person makes an input error in an electronic communication exchanged with the automated message system of another party, and

(b) the automated message system does not provide the person with an opportunity to correct the error,

the person, or the party on whose behalf the person was acting, has the right to withdraw the portion of the electronic communication in which the input error was made if:

(c) the person, or the party on whose behalf the person was acting, notifies the other party of the error as soon as possible after having learned of the error and indicates that he or she made an error in the electronic communication, and

(d) the person, or the party on whose behalf the person was acting, has not used or received any material benefit or value from the goods or services, if any, received from the other party.

(3) The right of withdrawal of a portion of an electronic communication under this section is not of itself a right to rescind or otherwise terminate a contract.

(4) The consequences (if any) of the exercise of the right of withdrawal of a portion of an electronic communication under this section are to be determined in accordance with any applicable rule of law.

In some circumstances the withdrawal of a portion of an electronic communication may invalidate the entire communication or render it ineffective for the purposes of contract formation (see paragraph 241 of the UNCITRAL explanatory note for the United Nations Convention on the Use of Electronic Communications in International Contracts).

14E Application of Act in relation to contracts

(1) Subject to subsection (2), the provisions of sections 7 and 13-13B apply to:

(a) a transaction constituted by or relating to a contract, or

(b) an electronic communication relating to the formation or performance of a contract,

in the same way as they apply to a transaction or electronic communication referred to in those sections, and so apply as if the words "For the purposes of a law of this jurisdiction" were omitted.

(2) However, this Part (including subsection (1)) does not apply to or in relation to a contract to the extent that:

(a) Part 2 would of its own force have the same effect as this Part if this Part applied, or

(b) a law of another State or Territory (that is in substantially the same terms as Part 2) would of its own force have the same effect as this Part if this Part applied.

Note: This section applies provisions of Part 2 to contracts or proposed contracts to the extent (if any) that those provisions do not apply merely because they are expressed to apply in relation to a law of this jurisdiction. This section also disapplies the provisions of Part 2A to the extent that Part 2 would apply of its own force. An example where Part 2 may not apply of its own force is where a contract is being negotiated in a State or Territory from a supplier located overseas.

[3.235] The Guide to Enactment of the 1996 Model law was produced by UNCITRAL to provide assistance to legislators, users of electronic communications and scholars. The full text of the guide can be found at: http://www.uncitral.org.

Guide to Enactment of the UNCITRAL Model Law on Electronic Commerce

[3.240] United Nations Commission on International Trade Law (UNCITRAL), *Guide to Enactment of the UNCITRAL Model Law on Electronic Commerce* (1996).

I. Introduction To The Model Law

A. Objectives

2. The use of modern means of communication such as electronic mail and electronic data interchange (EDI) for the conduct of international trade transactions has been increasing rapidly and is expected to develop further as technical supports such as information highways and the INTERNET become more widely accessible. However, the communication of legally significant information in the form of paperless messages may be hindered by legal obstacles to the use of such messages, or by uncertainty as to their legal effect or validity. The purpose of the Model Law is to offer national legislators a set of internationally acceptable rules as to how a number of such legal obstacles may be removed, and how a more secure legal environment may be created for what has become known as "electronic commerce". The principles expressed in the Model Law are also intended to be of use to individual users of electronic commerce in the drafting of some of the contractual solutions that might be needed to overcome the legal obstacles to the increased use of electronic commerce ….

B. Scope

1. The title of the Model Law refers to "electronic commerce". While a definition of "electronic data interchange (EDI)" is provided in article 2, the Model Law does not specify the meaning of "electronic commerce". In preparing the Model Law, the Commission decided that, in addressing the subject matter before it, it would have in mind a broad notion of EDI, covering a variety of trade-related uses of EDI that might be referred to broadly under the rubric of "electronic commerce" …, although other descriptive terms could also be used. Among the means of communication encompassed in the notion of "electronic commerce" are the following modes of transmission based on the use of electronic techniques: communication by means of EDI defined narrowly as the computer-to-computer transmission of data in a standardized format; transmission of electronic messages involving the use of either publicly available standards or proprietary standards; transmission of free-formatted text by electronic means, for example through the INTERNET. It was also noted that, in certain circumstances, the notion of "electronic commerce" might cover the use of techniques such as telex and telecopy [ie, facsimile] ….

2. *Article 15*. Time and place of dispatch and receipt of data messages

102. Paragraph (2), the purpose of which is to define the time of receipt of a data message, addresses the situation where the addressee unilaterally designates a specific information system for the receipt of a message (in which case the designated system may or may not be an information system of the addressee), and the data message reaches an information system of the addressee that is not the designated system. In such a situation, receipt is deemed to occur when the data message is retrieved by the addressee. By "designated information system", the Model Law is intended to cover a system that has been specifically designated by a party, for instance in the case where an offer expressly specifies the address to which acceptance should be sent. The mere indication of an electronic mail or telecopy address on a letterhead or other document should not be regarded as express designation of one or more information systems.

Correspondence between offer and acceptance

Butler Machine Tool Co v Ex-Cell-O Corp (England)

[3.245] *Butler Machine Tool Co Ltd v Ex-Cell-O Corp (England) Ltd* [1979] 1 WLR 401 (Court of Appeal) – Appeal from Thesiger J.

[FACTS: The facts are set out by Lord Denning MR.]

LORD DENNING MR: [402] This case is a "battle of forms". The plaintiffs, the Butler Machine Tool Co Ltd, suppliers of a machine, on 23 May 1969, quoted a price for a machine tool of £75 535. Delivery was to be given in ten months. On the back of the quotation there were terms and conditions. One of them was a price variation clause. It provided for an increase in the price if there was an increase in the costs and so forth. The machine tool was not delivered until November 1970. By that time costs had increased so much that the sellers claimed an additional sum of £2 892 as due to them under the price variation clause.

The defendant buyers, Ex-Cell-O Corp (England) Ltd, rejected the excess charge. They relied on their own terms and conditions. They said:

We did not accept the sellers' quotation as it was. We gave an order for the self-same machine at the self-same price, but on the back of our order we had our own terms and conditions. Our terms and conditions did not contain any price variation clause.

The judge held that the price variation clause in the sellers' form continued through the whole dealing and so the sellers were entitled to rely upon it … The judge said that the sellers did all that was necessary and reasonable to bring the price variation clause to the notice of the buyers. He thought that the buyers would not "browse over the conditions" of the sellers; and then, by printed words in their (the buyers') document, trap the sellers into a fixed price contract.

[403] I am afraid that I cannot agree with the suggestion that the buyers "trapped" the sellers in any way. Neither party called any oral evidence before the judge. The case was decided on the documents alone. I propose therefore to go through them.

On 23 May 1969, the sellers offered to deliver one "Butler" double column plane-miller for the total price of £75 535. Delivery ten months (subject to confirmation at time of ordering) other terms and conditions are on the reverse of this quotation. On the back there were 16 conditions in small print starting with this general condition: "All orders are accepted only upon and subject to the terms set out in our quotation and the following conditions. These terms and conditions shall prevail over any terms and conditions in the buyer's order."

Clause 3 was the price variation clause. It said:

> Prices are based on present day costs of manufacture and design and having regard to the delivery quoted and uncertainty as to the cost of labour, materials etc during the period of manufacture, we regret that we have no alternative but to make it a condition of acceptance of order that goods will be charged at prices ruling upon date of delivery.

The buyers replied on 27 May 1969, giving an order in these words: "Please supply on terms and conditions as below and overleaf."

Below there was a list of the goods ordered, but there were differences from the quotation of the sellers in these respects:

(1) there was an additional item for the cost of installation, £3 100; and

(2) there was a different delivery date (instead of ten months, it was 10-11 months).

Overleaf there were different terms as to the cost of carriage: in that it was to be paid to the delivery address of the buyers: whereas the sellers' terms were ex warehouse. There were different terms as to the right to cancel for late delivery. The buyers in their conditions reserved the right to cancel if delivery was not made by the agreed date: whereas the sellers in their conditions said that cancellation of order due to late delivery would not be accepted.

Butler Machine Tool Co v Ex-Cell-O Corp (England) cont.

On the foot of the buyers' order there was a tear-off slip headed: "Acknowledgment: Please sign and return to Ex-Cell-O. We accept your order on the terms and conditions stated thereon – and undertake to deliver by – Date – signed." In that slip the delivery date and signature were left blank ready to be filled in by the sellers.

On 5 June 1969, the sellers wrote this letter to the buyers:

> We have pleasure in acknowledging receipt of your official order dated 27 May covering the supply of one Butler Double Column Plane-Miller. This being delivered in accordance with our revised quotation of 23 May for delivery in 10/11 months, that is, March/April 1970. We return herewith duly completed your acknowledgment of order form.

They enclosed the acknowledgment form duly filled in with the delivery date March/April 1970 and signed by the Butler Machine Tool Co.

No doubt a contract was then concluded. But on what terms? The sellers rely on their general conditions and on their last letter which said: [404] "in accordance with our revised quotation of 23 May" (which had on the back the price variation clause). The buyers rely on the acknowledgment signed by the sellers which accepted the buyer's order "on the terms and conditions stated thereon" (which did not include a price variation clause).

If those documents are analysed in our traditional method, the result would seem to me to be this: the quotation of 23 May, 1969, was an offer by the sellers to the buyers containing the terms and conditions on the back. The order of 27 May, 1969, purported to be an acceptance of that offer in that it was for the same machine at the same price, but it contained such additions as to cost of installation, date of delivery and so forth that it was in law a rejection of the offer and constituted a counter-offer. That is clear from *Hyde v Wrench* (1840) 3 Beav 334; 49 ER 132. As Megaw J said in *Trollope & Colls Ltd v Atomic Power Constructions Ltd* [1963] 1 WLR 333 at 337: "the counter-offer kills the original offer." The letter of the sellers of 5 June, 1969, was an acceptance of that counter-offer, as is shown by the acknowledgment which the sellers signed and returned to the buyers. The reference to the quotation of 23 May referred only to the price and identity of the machine.

To go on with the facts of the case. The important thing is that the sellers did not keep the contractual date of delivery which was March/April 1970. The machine was ready about September 1970 but by that time the buyers' production schedule had to be rearranged as they could not accept delivery until November 1970. Meanwhile the sellers had invoked the price increase clause. They sought to charge the buyers an increase due to the rise in costs between 27 May 1969 (when the order was given), and 1 April 1970 (when the machine ought to have been delivered). It came to £2 892. The buyers rejected the claim. The judge held that the sellers were entitled to the sum of £2 892 under the price variation clause. He did not apply the traditional method of analysis by way of offer and counter-offer. He said that in the quotation of 23 May 1969: "one finds the price variation clause appearing under a most emphatic heading stating that it is a term or condition that is to prevail." So he held that it did prevail.

I have much sympathy with the judge's approach to this case. In many of these cases our traditional analysis of offer, counter-offer, rejection, acceptance and so forth is out of date. This was observed by Lord Wilberforce in *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd* [1975] AC 154 at 167. The better way is to look at all the documents passing between the parties – and glean from them, or from the conduct of the parties, whether they have reached agreement on all material points – even though there may be differences between the forms and conditions printed on the back of them. As Lord Cairns said in *Brogden v Metropolitan Railway Co* (1877) 2 App Cas 666 at 672: "there may be a *consensus* between the parties far short of a complete mode of expressing it, and that *consensus* may be discovered from letters or from other documents of an imperfect and incomplete description."

Applying this guide, it will be found that in most cases when there is a "battle of forms", there is a contract as soon as the last of the forms is sent and received without objection being taken to it. That is well observed in *Benjamin's Sale of Goods* (9th ed, 1974), p 84. The difficulty is to decide which

Butler Machine Tool Co v Ex-Cell-O Corp (England) cont.

form, or which part of which form, is a term or condition of the contract. In some cases the battle is won by the man who fires the last shot. [405] He is the man who puts forward the latest terms and conditions: and, if they are not objected to by the other party, he may be taken to have agreed to them. Such was *British Road Services Ltd v Arthur V Crutchley & Co Ltd* [1968] 1 Lloyd's Rep 271 at 281-2 per Lord Pearson; and the illustration given by Prof Guest in *Anson's Law of Contract* (24th ed), pp 37, 38 when he says: "the terms of the contract consist of the terms of the offer subject to the modifications contained in the acceptance." In some cases the battle is won by the man who gets the blow in first. If he offers to sell at a named price on the terms and conditions stated on the back: and the buyer orders the goods purporting to accept the offer – on an order form with his own different terms and conditions on the back – then if the difference is so material that it would affect the price, the buyer ought not to be allowed to take advantage of the difference unless he draws it specifically to the attention of the seller. There are yet other cases where the battle depends on the shots fired on both sides. There is a concluded contract but the forms vary. The terms and conditions of both parties are to be construed together. If they can be reconciled so as to give a harmonious result, all well and good. If differences are irreconcilable – so that they are mutually contradictory – then the conflicting terms may have to be scrapped and replaced by a reasonable implication.

In the present case the judge thought that the sellers in their original quotation got their blow in first: especially by the provision that: "these terms and conditions shall prevail over any terms and conditions in the buyer's order."

It was so emphatic that the price variation clause continued through all the subsequent dealings and that the buyers must be taken to have agreed to it. I can understand that point of view. But I think that the documents have to be considered as a whole. And, as a matter of construction, I think the acknowledgment of 5 June, 1969, is the decisive document. It makes it clear that the contract was on the buyers' terms and not on the sellers' terms: and the buyers' terms did not include a price variation clause.

I would therefore allow the appeal and enter judgment for the defendants.

[3.250] LAWTON LJ: The modern commercial practice of making quotations and placing orders with conditions attached, usually in small print, is indeed likely, as in this case to produce a battle of forms. The problem is how should that battle be conducted? The view taken by Thesiger J was that the battle should extend over a wide area and the court should do its best to look into the minds of the parties and make certain assumptions. In my judgment, the battle has to be conducted in accordance with set rules. It is a battle more on classical 18th century lines when convention decided who had the right to open fire first rather than in accordance with the modern concept of attrition.

The rules relating to a battle of this kind have been known for the past 130 odd years. They were set out by Lord Langdale MR in *Hyde v Wrench* to which Lord Denning MR has already referred; and, if anyone should have thought they were obsolescent, Megaw J in *Trollope & Colls Ltd v Atomic Power Constructions Ltd* called attention to the fact that those rules are still in force.

When those rules are applied to this case, in my judgment, the answer [406] is obvious. The sellers started by making an offer. That was in their quotation. The small print was headed by the following words: "General. All orders are accepted only upon and subject to the terms set out in our quotation and the following conditions. These terms and conditions shall prevail over any terms and conditions in the buyer's order."

That offer was not accepted. The buyers were only prepared to have one of these very expensive machines on their own terms. Their terms had very material differences in them from the terms put forward by the sellers. They could not be reconciled in any way. In the language of Art 7 of the *Uniform Law on the Formation of Contracts for the International Sale of Goods* (see *Uniform Laws on International Sales 1967*, Sched 2) they did "materially alter the terms" set out in the offer made by the plaintiffs.

As I understand *Hyde v Wrench*, and the cases which have followed, the consequence of placing the order in that way, if I may adopt Megaw J's words [1963] 1 WLR 333 at 337, was "to kill the original

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offer". It follows that the court has to look at what happened after the buyers made their counter-offer. By letter dated 4 June, 1969, the plaintiffs acknowledged receipt of the counter-offer, and they went on in this way: "Details of this order have been passed to our Halifax works for attention and a formal acknowledgment of order will follow in due course."

That is clearly a reference to the printed tear-off slip which was at the bottom of the buyers' counter-offer. By letter dated 5 June 1969, the sales office manager at the plaintiffs' Halifax factory completed that tear-off slip and sent it back to the buyers.

It is true, as Mr Scott has reminded us, that the return of that printed slip was accompanied by a letter which had this sentence in it: "This is being entered in accordance with our revised quotation of 23 May for delivery in 10/11 months."

I agree with Lord Denning MR that, in business sense, that refers to the quotation as to the price and the identity of the machine, and it does not bring into the contract the small print conditions on the back of the quotation. Those small print conditions had disappeared from the story. That was when the contract was made. At that date it was a fixed price contract without a price escalation clause.

As I pointed out in the course of argument to Mr Scott, if the letter of 5 June which accompanied the form acknowledging the terms which the buyers had specified had amounted to a counter-offer, then in my judgment the parties never were ad idem. It cannot be said that the buyers accepted the counter-offer by reason of the fact that ultimately they took physical delivery of the machine. By the time they took physical delivery of the machine, they had made it clear by correspondence that they were not accepting that there was any price escalation clause in any contract which they had made with the plaintiffs.

I agree with Lord Denning MR that this appeal should be allowed.

[In a separate judgment, BRIDGE LJ said that the case was plainly governed by the classical doctrine that a counter-offer amounts to a rejection of an offer and puts an end to the effect of the offer. He agreed that the appeal be allowed.]

Appeal allowed.

[3.255] **Note**

Compare the UNIDROIT Principles of International Commercial Contracts 2016, Arts 2.1.11, 2.1.12 and 2.1.22.